

37% of wedges will fail to drop more than 10%. If you're a glass-half-full person, then that leaves 63% of patterns will reach the target.

[Figure 73.4](#) shows an example of how this works. The highest price is just as the formation starts in early June at 48.63, and it becomes the target price. After the breakout, price hesitates and attempts a throwback to the wedge trendline, but cannot quite reach it. After that, it is straight up.

[Table 73.10](#) Trading Tactics

| Trading<br>Tactic     | Explanation                                                                                                                                                                                                                            |
|-----------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Measure<br>rule       | For upward breakouts, the highest high in the wedge is the price target. For downward breakouts, use the formation height subtracted from the breakout price as the target. The lower portion of the table shows how often this works. |
| Buy after<br>breakout | Since price can break out in any direction, wait for a close outside the trendline boundary before taking a position.                                                                                                                  |
| Watch for<br>dip      | A substantial number of wedges break out downward but turn up and make a large rise.                                                                                                                                                   |
| Busted<br>trade       | See <a href="#">Table 73.9</a> for guidance.                                                                                                                                                                                           |

| Description                               | Bull Market,<br>Up Breakout | Bear Market,<br>Up Breakout | Bull Market,<br>Down Breakout |
|-------------------------------------------|-----------------------------|-----------------------------|-------------------------------|
| Percentage reaching<br>full height target | 62%                         | 53%                         | 29%                           |